

VILASRAO DESHMUKH

HEAVY INDUSTRIES



- Technology Upgradation Fund Scheme for engineering sector
- Raise rate of depreciation on plant and machinery from 15 per cent to 25 per cent
- Comprehensive plan for skill development

“PSUs, auto and engineering sectors are big job creators. They require support to beat the slowdown.”

SUBODH KANT SAHAJ

FOOD PROCESSING



- Eight years complete tax holiday
- Reduction of custom duty on imported raw material, fixing VAT between 0-4 per cent
- Status as infrastructure industry

“The Government must give a serious look at the sector to attract new investments and reduce spoilage of food.”

KAMAL NATH

SURFACE TRANSPORT



- Rs 6,000-crore budgetary support
- “Innovative funding” schemes for boosting roads infrastructure development
- Creation of Road Finance Corporation with a corpus of Rs 500 crore

“We plan to look at innovative ways to finance road projects. Infrastructure development is key for growth.”

JAIPAL REDDY

URBAN DEVELOPMENT



- Housing loan at 7.5 per cent interest rate for flats of Rs 20-30 lakh
- More allocations for Commonwealth Games, Metro and JNNURM projects
- Raise I-T limit exemption on rental income from 30-50 per cent.

“The revival of real estate is key for generating employment. There is a need to provide cheaper loans for low-cost housing.”

For the man who got fame for some hard bargaining on India's interests in the WTO as commerce minister, a shift to the ground realities of bad roads was not exactly expected. But Surface Transport Minister Kamal Nath has already chalked out a road to glory with a target to build 7,000 km of road every year at a cost of Rs 42,000 crore for the next five years. For this, Nath wants a doubling of the budgetary allocation for building roads compared to the Rs 3,350 crore available now. Nath will also be pressing for “innovative funding” schemes and setting up a Road Finance Corporation with an initial corpus of Rs 500 crore to provide easy financing options.

With India's textile exports to US falling by around 14 per cent in the first four months of 2009, Textile Minister Dayanidhi Maran's wishlist includes service tax exemption to textile exporters, providing export credit at 7 per cent at least up to 2010 and restoring temporarily 100 per cent exemption for export earnings. While for his cabinet and party colleague A. Raja, the IT minister, extension of tax sops for software parks under Section 1(10) a and b of the IT Act is the priority in his wishlist.

Minister for Urban Development Jaipal Reddy is overseeing perhaps the most ravaged landscape. Real estate is hit badly and home owners are stuck as realtors have stalled projects for want of liquidity. With still no signs of recovery in real estate, his wish is to stimulate demand for housing with interest rate on home loans between 6.5 and 7.5 per cent.

FICCI Secretary-General Amit Mitra feels that construction loans for housing for the economically weaker sections should be classified as priority sector lending. “Grant infrastructure status to housing and construction sector,” says Mitra.

All this is obviously a tall order for the finance minister. The demands are many and legitimate, and the resources tight. But the finance minister will have to find a way to create a please-all budget. As the saying goes, where there is a will, there is a way. ■

WITH THE DECLINE IN EXPORTS LIKELY TO CONTINUE, THE CASE FOR SECTOR-SPECIFIC INCENTIVES HAS STRONG INDUSTRY SUPPORT.

Exporters' Organisation, the export sector has seen a decline between 20-30 per cent in the last five months and 10 million job loss already.

Vilasrao Deshmukh's move from Mumbai to Delhi would have been cushier had the economy been on the roll. But critical segments like engineering are reeling from low output and job losses. The engineering sec-

tor which has seen its exports decline 34 per cent in March and 26 per cent in April is headed for a 37 per cent cut in the workforce, says Rakesh Shah, head of a special task force on combating slowdown. The heavy industries minister would naturally want a hike in rate of depreciation on plant and machinery, from the present 15 per cent to 25 per cent.